

Money Had and Received (Second Cause): For a cause for money had and received, a cause of action “lies wherever one person has received money which belongs to another, and which in equity and good conscience should be paid over to the latter.” (*Gutierrez v. Girardi* (2011) 194 Cal.App.4th 925, 937, quoting *Schultz v. Harney* (1994) 27 Cal.App.4th 1611, 1623.)

Generally, the statute of limitations for a money had and received claim is two years. (Code Civ. Proc., § 339.) However, where money had and received was the result of fraud or mistake a three-year statute applies. (FAC, ¶155; *Creditors Collection Serv. v. Castaldi* (1995) 38 Cal.App.4th 1039, 1043 [fraud being the basis of the legal injury].)

Again, Defendant argues discovery as of May 4, 2022, later confirmed by a June 10, 2022, Title Report. Thus, initially, the two-year statute of limitations would have run in May of 2024. However, even if viewed in the context of mistake and a three-year statute of limitation, the statute would have run in May of 2025; again, this is before the date the initial complaint was filed in July of 2025.

Here, the common count cause of action is predicated upon contractual duty to pay the senior mortgage. Thus, it appears the two-year statute of limitations applies. The complaint alleges that the subject mortgage payments were made between September 2021 through January 30, 2023. The SAC also alleges that Defendant Gulf Harbour eventually sold the subject property the same month. Thus, without any additional facts, it appears the statute of limitations ran on January 30, 2025. Yet, the initial complaint was not filed until July 2, 2025.

Although Plaintiff appears to allege in the SAC the delayed discovery rule applies and there is a three-year statute of limitations, Plaintiff admittedly learned of the foreclosure when Plaintiff was served with the unlawful detainer action on May 4, 2022, and then confirmed via the preliminary title report on June 10, 2022, more than three years prior to filing this lawsuit. Accordingly, the statute of limitations has run, regardless of whether a two year or three-year statute of limitations applies.

Equitable Estoppel: The elements of equitable estoppel are (1) the party to be estopped must be apprised of the facts; (2) he must intend that his conduct be acted upon or must so act that the party asserting the estoppel has a right to believe it was so intended; (3) the other party must be ignorant of the true states of the facts; and (4) he must rely upon the conduct to his injury. (*Schafer v. City of Los Angeles* (2015) 237 Cal.App.4th 1250, 1261, citing and quoting *Strong v. Co. of Santa Cruz* (1975) 15 Cal.3d 720, 425.)

Here, Plaintiff makes no allegation that Defendant said or did anything to make Plaintiff believe he did not need to bring a timely lawsuit to recover money he paid to the senior loan. He was aware of the foreclosure and knew he was not the title owner as of May 2022. At no point does Plaintiff allege there was any indication money he paid to the senior lender would be returned to him by Defendant if the foreclosure was unsuccessful. Thus, it does not appear that equitable estoppel applies.

13. *Mabudian, M.D., et al, v. Beaver Medical Group, PC, et al*, Case No. CIVSB2133187
Defendants' Motion to file Under Seal Papers in Relation to Plaintiff's Motion for Sanctions
9/21/26, 9:00 a.m., Dept. S-17

Tentative Ruling

With respect to Exhibit G purportedly filed conditionally under seal in relation to Plaintiff's discovery motion seeking sanctions, the sealed documents rules, California Rules of Procedure, rules 2.550(d) and 2.551, do not appear to control the issue: Under rule 2.550(a)(3), the presumption in favor of public disclosure does not apply to this discovery motion exhibit. As to Plaintiff's purported filing of Exhibit G under seal in connection with Plaintiff's discovery sanctions motion, no such actual filing occurred. In addition, Plaintiff, the non-designating party, has not demonstrated that the requirements of the stipulated protective order paragraph 11 are met.

As such, the Court would **ORDER** Plaintiff to lodge Exhibit G under seal for the parties to follow the appropriate procedures under paragraph 11 related to the confidential designation of the deposition testimony included in Exhibit G.

Procedural Posture

On July 8, 2026, Plaintiff filed a motion for monetary sanctions against Defendant Beaver Medical Group and its designated witness for failure to comply with their statutory obligations. Plaintiff's motion is noticed as being brought under Code of Civil Procedure section 2023.030, and Plaintiff argues that Beaver failed to produce a PMQ adequately prepared to testify. As part of this motion, Plaintiff also seeks an order that Defendants Beaver and Chen, the designated witness, comply with their obligations during a second session of Beaver's PMQ deposition.

With the motion for sanctions, Plaintiff filed a notice per California Rules of Court 2.551 re intent not to seal documents lodged in support of Plaintiff's sanction motion. In the notice, Plaintiff states that on July 7, 2026, she filed conditionally under seal Exhibit G, pages 86 through 99 of the Deposition of Charles Chen, which had been designated by Defendants as "confidential" pursuant to the parties stipulated protective order.

On July 17, 2026, Beaver Medical Group, EPIC, and EPIIC (collectively Beaver) filed a motion to seal, which is now before the Court. Beaver now seeks a court order sealing Exhibit G, asserting that Exhibit G includes confidential nonpublic business information and Defendants will be harmed by public access. Plaintiff opposes, arguing that Exhibit G does not reveal any confidential financial or business information and that the requirements of rule 2.550(d) are not met.

Analysis

Relevant here, California Rules of Court, rule 2.550(a)(3) provides: "These rules do not apply to discovery motions and records filed or lodged in connection with discovery motions or proceedings. However, the rules do apply to discovery materials that are used at trial or submitted as a basis for adjudication of matters other than discovery motions or proceedings."

Rules 2.550 and 2.551, "create a presumption of public access to some, but not all, court-filed documents." (*Mercury Interactive Corp. v. Klein* (2007) 158 Cal.App.4th 60, 68.) There is a distinction between documents "filed in court as a basis for adjudication," in which there is a First Amendment

right to public access to documents, and “discovery materials that are neither used at trial nor submitted as a basis for adjudication,” to which there is no similar right of access. (*Id.* at pp. 67-68 [emphasis added].) In *Mercury Interactive*, the court concluded that it was error when the trial court held that there was a presumption of public access to exhibits attached to the complaint where they consisted of discovery materials not admitted at trial or used as a basis of the trial court’s adjudication of a substantive matter.

The *Mercury Interactive* court then discussed its review of the documents filed under seal. It also indicated that the stipulated protective order itself is the final word. “Instead, the order . . . specifies a mechanism for challenging a confidentiality designation made by a party or a third party producing discovery materials.” (*Mercury Interactive, supra*, at p. 106.) The *Mercury Interactive* court then discussed the protective order’s meet-and-confer requirement and that the protective order provided that if, after an attempt to resolve the controversy informally failed, the party designating the record as confidential could seek an order designating the material as confidential. The *Mercury* court finally discussed discovery statutes that allowed the trial court to issue a protective order. It then found that the parties followed the procedure specified in the stipulated protective order, and the trial court was empowered to address defendants’ concerns regarding confidentiality under the protective order and the Civil Discovery Act. The *Mercury Interactive* court ultimately concluded that the party seeking disclosure needed to follow the procedures identified in the protective order.

In this case, the stipulated protective order filed on April 3, 2026, provides for a specific procedure for Plaintiff to challenge a confidentiality designation, which includes written notice to Beaver Defendants and a meet-and-confer requirement. If after meeting and conferring the issue is not resolved, counsel for the designating party has 30 days from receipt of the written designation objection to either agree to de-designate the testimony as confidential or file a motion with the court seeking to uphold the designation. (Protective Order, ¶11.)

Given the discussion in *Mercury Interactive*, Plaintiff cannot put the “confidentiality” designation of the deposition testimony in Exhibit G in issue simply by purporting to file the testimony conditionally under seal as part of a discovery motion and filing a notice under rule 2.551(b)(3), without first demonstrating that an issue regarding the “confidentiality” designation existed between the parties and that the required meet-and-confer efforts were followed.

In addition, there should be no requirement that, as part of a discovery motion, the designating party make a showing under the sealed records rules in order for the documents to remain sealed, because, as discussed above, rule 2.550(a)(3) specifically exempts discovery motions. To find otherwise would eviscerate this exception.

Therefore, as it applies to Plaintiff’s discovery sanctions motion and Plaintiff’s purported filing of Exhibit G conditionally under seal, Plaintiff – here, the non-designating party – has not demonstrated the requirements of the stipulated protective order paragraph 11 have been met. As such, the Court would order Plaintiff to lodge Exhibit G under seal for the parties to follow the appropriate procedures under paragraph 11 related to the confidential designation of the deposition testimony in Exhibit G.
